

SECTORAL ANALYSIS + RELATIVE STRENGTH

For this particular strategy, we are going to use a technical indicator named “Relative Strength”. You can easily find this indicator on any charting software. After applying this indicator, your chart will look like the image below if you are using Trading View.



This is an example comparing Nifty Auto with Nifty 50.

Now, you can execute this very simple yet highly effective positional trading strategy in 2 easy steps –

① SELECTING THE SECTOR

② SELECTING THE STOCK

① SELECTING THE SECTOR

Select any random Nifty index and compare it with the Nifty 50. We have already talked about how you can do that but here's a reminder. Just go on your charting website and search for Relative Strength or Right Click on any index on your watchlist and select “Compare to Nifty 50” option.